QUESTION 1

Style Avenues is a fashion hub which has been in operation for a number of years in Bulawayo. The demand for its products has been on raise for past months and now the directors wants to expands in operation in other provinces in Zimbabwe. Styles Avenue is a VAT registered operator and all of its suppliers are registered operators.

On 1 January 2022 Style Avenues purchased a machine for $2 912 719.70 (including VAT). During January 2022, Style Avenue incurred the following costs (which, where applicable, include VAT):

- Delivery costs to deliver the machine to the premises of Style Avenue to the amount of $286 250 and
- Installation costs by an external service provider to the amount of $515 250.

During January 2022, Style Avenue's engineer incurred the following costs to modify the machine so that it can produce/operate as required by Style Avenue:

- Material to the amount of $170 000. Style Avenue used its own maintenance material on hand and
- Labour costs to the amount of $180 000. Style Avenue used its own maintenance employees.

During January 2022, two of Style Avenue's employees were trained to operate the machine. The following costs were incurred in this regard:

- Costs of an external expert instructor to the amount of $28 500; and
- Employee benefits in respect of the two employees for the period of the training to the amount of $16 000.

During February 2022 the machine was tested. The following costs were incurred in this regard:

- Material to the amount of R84 578. The test products were sold as scrap for $12 052; and
- Employee benefits in respect of Style Avenue's employees that were involved in test runs in respect of the machine to the amount of $44 000.

On 1 March 2022, the machine was ready for use and was also put into service on this date. Due to the low levels of orders Style Avenue suffered a loss of $96 000 during March 2022 from operating the machine. In the production process, the machine produces water that is contaminated with a specific chemical. The water is purified on site. At the end of the useful life of the machine, which is estimated at 10 years, Style Avenue has to dismantle the machine and rehabilitate the direct environment. On 1 March 2022, the present value of the dismantling and rehabilitation costs was estimated at $430 000 (excluding VAT).

Required:

Indicate what the cost of the machine is at initial recognition.

QUESTION 2

S Ltd runs a business that sells mining equipment and related products to customers. On 31 March 2022, A Ltd sent the following order to S Ltd:

	$
5 Granby cars (type XX)	159 600
1 Locomotive	13 680
12 Turnouts	1 368
	174 648

(Note: The prices at which the goods are ordered are in agreement with S Ltd's price list and include VAT). On 5 April 2022 the goods were delivered to A Ltd's premises. The accompanying invoice, issued by S Ltd, amount to $174 648 (including VAT) and is payable on or before 30 April 2022. Both parties to the contract are registered VAT vendors in accordance with the VAT Act. A Ltd Ltd is a customer with an excellent payment record.

Required:

a. State the core principle of IFRS 15 for the recognition of revenue (sales) from a contract with a customer.
b. Recognise the revenue (sales) by applying the five step model of IFRS 15.

Note: Accept that the contract between the two parties satisfies the requirements of step 1.

QUESTION 3

On 14 December 2022, NUST Ltd received an order from customer K for a number of units of a specialised item. Due to the nature of the item, NUST Ltd does not keep stock of the item. NUST Ltd has to order the number of units from the manufacturer and therefore expects customer K to pay the full amount, namely $855 000 (including VAT), to NUST Ltd when placing the order. (Customer K paid the amount over to NUST Ltd on 14 December 2022.) On 12 January 2023, NUST Ltd received the relevant goods from the manufacturer and on the same day delivered the goods to the premises of customer K. NUST Ltd's reporting period is 31 December. Both parties are registered as VAT vendors in accordance with the VAT Act.

Required:

a. Recognise the revenue (sales) by applying the five step model of IFRS 15 (accept that the contract between the parties satisfies the requirements of step 1).
b. Journalise the transactions in the records (general journal) of NUST Ltd.

QUESTION 4

Shep was incorporated on 1 January 2015. In the year ended 31 December 2015 the company made a profit before taxation of $ 121,000

During the period Shep made the following capital additions.

	$
Plant	48,000
Motor vehicles	12,000
During the period:	
Accounting depreciation	11,000
Tax depreciation	15,000

Tax is chargeable at a rate of 30%.

Required

Calculate the corporate income tax liability for the year ended 31st December 2015.

Calculate the deferred tax balance that is required in the statement of financial position as at 31st December 2015.

Prepare a note showing the movement on the deferred tax account and thus calculate the deferred tax charge for the year ended 31st December 2015

Prepare the statement of profit or loss note which shows the compilation of the tax expense for the year ended 31st December 2015**.**

SHEP II

Continuing from the previous year. The following information is relevant for the year ended 31st December 2016.

Capital transactions

	$
Depreciation charged	14,000
Tax allowances	16,000

Interest payable

On 1st April 2016 the company issued $25,000 of 8% convertible loan stock. Interest is paid in arrears on 30th September and 30th March. Assume that tax relief on interest expense is only given when the interest is paid.

Interest receivable

On 1st April Shep purchased debentures having a nominal value of $4,000. Interest at 15% pa is receivable on 30th September and 30th March. Assume that interest income is not taxed until the cash is actually received.

Provision for warranty

In preparing the financial statements for the year to 31st December 2016, Shep has recognised a provision for warranty payments in the amount of $1,200. This has been correctly recognised in

accordance with IAS 37 and the amount has been expensed. Assume that tax relief on the warranty cost is only given when the expense is paid.

Fine

During the period Shep has paid a fine of $6,000. The fine is not tax deductible.

Further information

The accounting profit before tax for the year was $125,000.

Tax is chargeable at a rate of 30%.

Required

Calculate the corporate income tax liability for the year ended 31st December 2016.

Calculate the deferred tax balance that is required in the statement of financial position as at 31st December 2016.

Prepare a note showing the movement on the deferred tax account and thus calculate the deferred tax charge for the year ended 31st December 2016

Prepare the statement of profit or loss note which shows the compilation of the tax expense for the year ended 31st December 2016.

Prepare a note to reconcile the product of the accounting profit and the tax rate to the tax expense for year ended 31st December 2016.

SHEP III

Continuing from the previous year. The following information is relevant for the year ended 31st December 2017.

Interest payable/Interest receivable
Shep still has $25,000 of 8% convertible loan stack in issue and still retains its holding in the debentures purchased in 2004.

Provision for warranty
During the year Shep had paid out $ 500 in warranty claims and provided for a further $2,000.

Development costs
During 2017 Shep has capitalised development expenditure of $17,800 in accordance with the provisions of *IAS 38.* Assume that tax relief on this expenditure is taken in full in the period in which it is incurred.

Further information

	$.
Profit before taxation	175,000
Depreciation charged	18,500
Tax allowable depreciation	24,700

Entertainment

Shep paid for a large office party during 2017 to celebrate a successful first two years of the business. This cost $20,000. Assume that this expenditure is not tax deductible.

Tax is chargeable at a rate of 30%.

Required

Calculate the corporate income tax liability for the year ended 31st December 2017.
Calculate the deferred tax balance that is required in the statement of financial position as at 31st December 2017.
Prepare a note showing the movement on the deferred tax account and thus calculate the deferred tax charge for the year ended 31st December 2017
Prepare the statement of profit or loss note which shows the compilation of the tax expense for the year ended 31st December 2017.
Prepare a note to reconcile the product of the accounting profit and the tax rate to the tax expense for year ended 31st December 2017.